Your Company is committed to make a meaningful contribution to this new era of agricultural transformation. The strategic focus will therefore be on strengthening its value-added portfolio, expanding regenerative agriculture initiatives through its climate smart programmes and accelerating adoption of advanced technologies through ITCMAARS to create new and scalable revenue streams, whilst benefitting farmers. At the core, is your Company's endeavour to restructure the backend into a robust network of vibrant FPOs to aggregate farmer effort and enhance efficiencies. Over time, your Company will engage and empower over 4,000 FPOs, thereby benefitting more than 1 crore farmers.

To power next generation agriculture, your Company has launched ITCMAARS, an acronym for Meta Market for Advanced Agricultural Rural Services, as a crop agnostic integrated 'phygital' eco-system, which is embedded with a full stack AgriTech platform with FPOs as the pivot. This platform provides farmers with AI/ML driven personalised and hyperlocal crop advisories, access to good quality inputs and market linkages as well as allied services like pre-approved loans. It also offers advanced technologies like real-time soil testing, quality assaying and precision farming at the doorstep of farmers. ITCMAARS has now been launched in 7 States with 40,000+ farmers grouped in 200+ FPOs and will be progressively scaled up across the country. Given the size of the agri and allied sectors, ITCMAARS has the potential to become a considerable segment of your Company's Agri Business besides strengthening its agri-sourcing expertise over time.

> "The strategic focus will be on strengthening its agri value-added portfolio, expanding regenerative agriculture initiatives through its climate smart programmes and accelerating adoption of advanced technologies through ITCMAARS to create new and scalable revenue streams, whilst benefitting farmers."

In the year gone by, your Company's Agri Business demonstrated stellar performance with strong export growth in wheat, rice, spices and leaf tobacco. The superior sourcing expertise of the Business continues to create sustainable competitive advantage for ITC's FMCG portfolio. Going forward, the strategic focus on value-added crops, ITCMAARS and climate smart agriculture will drive new vectors to sustain growth and profitability in this area of national priority.

Paperboards, Paper & Packaging

I draw immense satisfaction that your Company's Paperboards & Paper Business is an exemplar in triple bottom line contribution.

The ITC Next vision envisages a strategic focus on promising vectors of growth by scaling up value-added paperboards and pioneering Next Generation sustainable packaging solutions. Investments in Industry 4.0, together with an intensified focus on technological excellence, integrated & renewable fibre value chain and import substitution are enhancing competitiveness by setting new benchmarks in productivity, quality and strategic cost management. Your Company is developing innovative sustainable packaging solutions on the laminated board and moulded fibre platforms and has recently launched several B2B brands to provide innovative options to the food & beverages and takeaway segments, amongst others. Given the heightened consumer and regulatory pressures to substitute single-use plastics, this area offers immense potential for your Company.

As valued shareholders, you will draw immense satisfaction that your Company's Paperboards Business contributes to several areas of national priority. Your Company has anchored an extensive afforestation programme. Cumulatively, the programme has covered 9.5 lakh acres, supporting over 170 million person days of employment. Your Company has also invested in India's first and only Bleached Chemical Thermo Mechanical Pulp Mill to substitute imported softwood pulp through innovative technologies and support additional livelihoods along the pulp value-chain. Scaling new heights in environmental leadership, investments were recently made in a state-of-the-art High Pressure Recovery Boiler at Bhadrachalam which will significantly reduce emissions and costs whilst enhancing pulp productivity.

The strategic thrust on product mix enrichment, structural cost management, sustainable packaging and Industry 4.0 will continue to drive competitively superior performance in the years ahead.

Hotels

ITC's hospitality business has over the years made a significant contribution to enriching the tourism landscape of India with iconic properties, signature cuisine brands and international standards of service excellence. With 113 properties, the Hotels Business remains amongst the country's fastest growing hospitality chains. ITC Hotels has redefined sustainability with its credo of 'Responsible Luxury'. I take immense pleasure in sharing with you two significant milestones in this journey. ITC Hotels and Welcomhotels achieved, much ahead of time, the 2030 carbon emission targets envisaged in the COP21 Paris agreement. In addition, ITC Grand Chola at Chennai, ITC Gardenia and ITC Windsor at Bengaluru became the first 3 hotels in the world to receive the LEED® Zero Carbon certification.

To accelerate growth, your Company has adopted an 'asset-right' strategy that provides greater thrust on management contracts through the refreshed Welcomhotel brand as well as the launch of two new brands - 'Mementos' in the luxury segment and 'Storii' for curated experiences. Your Company has launched 9 hotels this year and has a healthy pipeline of new properties which will be opened over the next few quarters. Your Company will shortly unveil ITC Narmada, as a befitting tribute to the rich heritage and vibrant culture of Gujarat.

Undoubtedly, the last two years have been the most challenging for the travel and hospitality sector world-wide. Your Company's Hotels Business responded with commendable agility to tap alternate customer cohorts and garner new revenue streams. The resurgent trend in domestic tourism, MICE and banqueting highlight the immense opportunities for trusted brands like ITC Hotels in a post pandemic era.

Your Company's 'asset-right' strategy, together with strategic interventions in recent years, investments in digital technologies and pursuit of alternate structures in line with industry recovery dynamics, position it well to scale the next horizon of growth.